



How to Engage Skylight Using the Federal SBIR/STTR Program

Skylight SBIR and STTR procurement guide – October 2026 edition

This guide summarizes federal law and policy as of October 2026. It is not legal advice.
Follow your agency's acquisition supplement and class deviations.

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Glossary

ACF	Administration for Children and Families (HHS)	IDIQ	Indefinite delivery, indefinite quantity
BESPIN	Business and Enterprise Systems Product Innovation, a U.S. Air Force software factory	J&A	Justification and approval for other than full and open competition
BPA	Blanket purchase agreement	MAS	GSA Multiple Award Schedule
CAGE	Commercial and Government Entity code	NARA	National Archives and Records Administration
CDC	Centers for Disease Control and Prevention	NIH	National Institutes of Health
CMS	Centers for Medicare & Medicaid Services	NMCARS	Navy Marine Corps Acquisition Regulation Supplement
DEC statement	A short file memo showing how work derives from, extends, or completes prior SBIR/STTR work	PWS / SOO	Performance work statement / statement of objectives
DFARS	Defense Federal Acquisition Regulation Supplement	RFO	Revolutionary FAR Overhaul, the rewrite of the FAR that agencies are adopting by class deviation
DHS	Department of Homeland Security	SAT	Simplified acquisition threshold
DoD	Department of Defense, also styled the Department of War since September 2025	SBA	U.S. Small Business Administration
FAR	Federal Acquisition Regulation	SBIR	Small Business Innovation Research
FPDS	Federal Procurement Data System	STRATFI	Strategic Funding Increase, an Air Force SBIR/STTR Phase II award that pairs program funds with matching funds
GAO	Government Accountability Office	STTR	Small Business Technology Transfer
HHS	Department of Health and Human Services	UEI	Unique Entity ID (SAM.gov)

Overview

This guide explains the federal SBIR and STTR programs and how your agency can use Skylight's prior SBIR/STTR awards to buy the work you need through a **Phase III** award. A Phase III is often faster than a set-aside or a full competition, and it has no dollar ceiling.

Phase III is the commercialization stage. It lets any federal agency award a contract — including a sole-source contract — for work that derives from, extends, or completes a company's earlier SBIR or STTR work. Because the company already competed for its Phase I or Phase II award, the law treats competition as satisfied.

The guide answers common questions, lists Skylight's SBIR/STTR technologies and the Phase III awards agencies have already made to us, and walks contracting officers through an award step by step. If anything here could be clearer, please [let us know](#).

What changed since the last edition

- **The programs lapsed, then were reauthorized.** SBIR and STTR authority expired on September 30, 2025. On April 13, 2026, Public Law 119-83 reauthorized both programs through **September 30, 2031**.
- **Congress strengthened Phase III.** 15 U.S.C. 638(r)(4) now also directs agencies to develop simplified, standardized procedures and model contracts, and standard clauses that explain what a company must show to establish Phase III eligibility. SBA must also train contracting officers on Phase III.
- **The FAR now names Phase III outright.** The RFO version of FAR Part 6 lists sole-source SBIR/STTR Phase III awards as an example of “authorized or required by statute” (FAR 6.103-5) and says contracts under that authority need no written J&A.
- **DoD data rights are settled at 20 years.** A DFARS final rule, effective January 17, 2025, set one 20-year SBIR/STTR data protection period that starts at contract award. A FAR proposed rule published September 18, 2026 would do the same for civilian agencies.

- **Thresholds went up on October 1, 2025.** The SAT is now \$350,000, and simplified procedures for commercial products and services can be used up to \$9 million.
- **Two corrections.** Research and development funds *can* pay for Phase III (FAQ 9). And the topic number for Skylight's STTR Phase I and Phase II awards is **AF20A-TCS01**; the last edition listed it two different, incorrect ways.
- **Skylight's Phase III awards are listed in full**, including 2026 awards from the Department of Education and the National Archives.

FAQs

1. What's the SBIR/STTR program?

- **SBIR** reserves a share of federal research and development (R&D) funding for small businesses to develop technologies with commercial potential.
- **STTR** does the same for cooperative R&D between a small business and a research institution, such as a university.

Both programs are set out in 15 U.S.C. 638 and governed by SBA's SBIR/STTR Policy Directive (effective May 3, 2023).

2. How are SBIR and STTR awards made?

Awards follow three phases:

- **Phase I — feasibility.** The company tests the technical merit and feasibility of an idea. Awards usually last 6 to 12 months and range from tens of thousands of dollars up to about \$300,000, depending on the agency. (NIH's current guideline, for example, is \$306,872.)
- **Phase II — development.** The company builds on Phase I results and develops the technology. Awards usually last about 2 years and run up to about \$2 million, depending on the agency. (NIH's current guideline is \$2,045,816.) Agencies may also make "direct to Phase II" and sequential Phase II awards, and the 2026 law adds "strategic breakthrough" Phase II awards of up to \$30 million at the largest agencies.

- **Phase III — commercialization.** The company moves from R&D to a fielded product, service, or capability. Phase III is funded with non-SBIR/STTR money and has no limit on dollar value, duration, or number of awards.

Phase I and II awards are paid from each agency's SBIR/STTR set-aside. Phase III is not.

3. Is the program still authorized? What happened during the 2025–2026 lapse?

Yes. Both programs are authorized through September 30, 2031.

SBIR/STTR authority expired on September 30, 2025. For about six months, agencies stopped issuing new solicitations and new Phase I and II awards, while existing awards continued. Public Law 119-83, signed April 13, 2026, reauthorized both programs.

What the lapse meant for Phase III. Phase III is paid with non-SBIR/STTR money, so it never depended on the program's set-aside budget. In October 2025, DoD's Under Secretary for Research and Engineering directed that Phase III awards could continue during the lapse if they derived from, extended, or completed FY2025 or earlier SBIR/STTR work. Phase III work continued in practice: the National Archives placed new orders on Skylight's PERMA SBIR Phase III IDIQ in December 2025 and March 2026. With reauthorization in place, the question will not arise again before 2031.

4. Can a Phase III award be made on an effort that's still in Phase I or Phase II?

Yes. The Policy Directive says an agency may enter into a Phase III agreement at any time with a Phase II awardee, and likewise at any time with a Phase I awardee. There is no time limit between Phase I or II and Phase III, or between one Phase III and the next. What matters is that the work derives from, extends, or completes the earlier SBIR/STTR effort.

5. What type of contract can be a Phase III contract?

Any type. Firm-fixed-price, time-and-materials, labor-hour, cost-reimbursement, incentive or award fee, IDIQ, BPA, purchase order, or an order under an existing vehicle. A subcontract under a federally funded prime contract can also be a Phase III award.

6. Is competition required for Phase III awards?

No. The company competed for its Phase I or Phase II award, and the Small Business Act treats that as meeting federal competition requirements. Under 15 U.S.C. 638(r)(4), agencies are to treat an SBIR or STTR award as satisfying competition requirements, to the greatest extent practicable, and to issue Phase III awards — including sole-source awards — to the company that developed the technology “without further justification.”

In FAR terms, a Phase III sole source falls under the “authorized or required by statute” exception to full and open competition: **10 U.S.C. 3204(a)(5)** for DoD, NASA, and the Coast Guard, and **41 U.S.C. 3304(a)(5)** for civilian agencies. The RFO places that exception at FAR 6.103-5 (formerly FAR 6.302-5). An agency may still choose to compete Phase III work.

7. Does a Phase III award require a justification and approval (J&A)?

No written J&A is required. Under the RFO version of FAR Part 6, contracts awarded under 6.103-5 (authorized or required by statute) do not need the written justification and approval described in 6.104. The only exception in that section is for sole-source 8(a) contracts over \$30 million, which does not apply to Phase III.

Instead, document in the contract file that the award is a Phase III. Include:

- The authority: 15 U.S.C. 638(r)(4); 10 U.S.C. 3204(a)(5) or 41 U.S.C. 3304(a)(5); and FAR 6.103-5 (or your agency’s equivalent).
- The prior SBIR/STTR topic number and the Phase I or Phase II contract numbers.

- A short explanation of how the work derives from, extends, or completes the prior work, often called a “DEC statement.”
- The SBIR/STTR data rights clause (see FAQ 22).

Some agencies add their own steps. The Navy’s supplement (NMCARS 5206.302-5) has the contracting officer affirm in the business clearance memorandum that the award derives from, extends, or completes prior Phase I or II work and is authorized by 15 U.S.C. 638(r)(4). Air Force guidance calls for a contracting officer memo for the file and a DD Form 2579 (small business coordination record). DoD’s 2026 Phase III guidance notes that Phase III awards are exempt from publicizing requirements.

8. Can Phase III awards be made if the contractor is no longer a small business?

Yes. The size limits for Phase I and Phase II do not apply to Phase III.

9. What funding can be used for Phase III?

Any federal funds except SBIR/STTR set-aside funds. Operations and maintenance, procurement, working capital, and research, development, test, and evaluation (RDT&E) funds all qualify, as long as the funds are proper for the work under normal appropriations rules. Phase III can also be paid for by non-federal sources.

The previous edition said Phase III could use “any color of money except R&D dollars.” That was wrong. R&D funds are allowed; only SBIR/STTR program funds are excluded.

10. What work can a Phase III cover?

- Products, production, services, further R&D, or any combination.
- Work that applies the technology to new uses and missions the earlier phases didn’t study.
- Work that only partly relies on the SBIR/STTR technology. In *Digital Force Technologies, Inc.*, B-423319 (May 19, 2025), GAO upheld an Air Force Phase III sole

source where one component of the overall system derived from prior SBIR work.

No two Phase III contracts need to look alike.

11. Can an agency award a Phase III if it didn't sponsor the Phase I or Phase II?

Yes. Any federal agency can make a Phase III award for work that derives from, extends, or completes SBIR/STTR work funded by another agency. Skylight's Phase I and Phase II awards came from the U.S. Air Force. The Department of Education, the National Archives, the Transportation Security Administration, HHS components, and the U.S. International Development Finance Corporation have all made Phase III awards based on that work (see "Skylight's Phase III awards").

12. Can a Phase III be placed as an order on an existing contract vehicle?

Yes. Agencies have:

- **Ordered under an existing Phase III IDIQ.** The Air Force has placed orders for CDC and the DoD Office of Strategic Capital under Skylight's BESPIN Design Studio SBIR Phase III IDIQ.
- **Placed a Phase III order on a non-SBIR vehicle.** In 2026 the Department of Education placed an order under Skylight's GSA MAS contract, citing 15 U.S.C. 638(r) (4) and FAR 6.103-5 as the authority.
- **Used an assisted acquisition.** The Department of the Interior's Interior Business Center awarded the VIBES IDIQ for ACF; HHS took over the contract in September 2026.

When a Phase III order is placed on a multiple-award vehicle, record the statutory authority as the exception to fair opportunity.

13. Can simplified acquisition procedures be used?

Yes, when the value allows. Since October 1, 2025:

- The simplified acquisition threshold (SAT) is **\$350,000**.
- Simplified procedures for **commercial products and services** can be used up to **\$9 million** (FAR 12.201-1 in the RFO, formerly FAR Subpart 13.5), or up to \$15 million for certain emergency and contingency uses.

Several of Skylight's Phase III awards are purchase orders.

14. Must a solicitation be issued for a Phase III?

No. You may use one by choice, but Phase III awards can be negotiated directly between the agency and the company. Common paths:

- A **letter request for proposal** sent directly to Skylight with your statement of objectives or work.
- An **unsolicited proposal** from Skylight, based on market research conversations.
- A **letter contract** when work must start right away. A letter contract is an undefinitized contract action that authorizes immediate work; it follows your agency's usual rules for undefinitized actions.

15. Can a Phase III contract include options?

Yes. Price and evaluate the options at award, and follow the options rules in FAR Subpart 17.2 (in the RFO, 17.201-1 on use of options and 17.204-1 on exercising them). Work beyond the priced options can be added through a new Phase III action, because the Phase III authority isn't used up by one award.

16. Does SBA need to approve a Phase III?

No. SBA approval is not required. But if your agency pursues Phase III work with a company **other than** the one that developed the technology, the Policy Directive requires you to notify SBA in writing before the award, and SBA may appeal.

17. How do I know if an effort derives from, extends, or completes prior SBIR/STTR work?

Each Phase I and Phase II award has a defined topic and purpose. Compare your requirement with that scope:

- **Derives from:** the work traces back to the earlier SBIR/STTR effort.
- **Extends:** the work applies the earlier results to new uses, missions, or users.
- **Completes:** the work turns the earlier R&D into a fielded product, service, or capability.

Only one of the three needs to be true. A short crosswalk from the Phase I/II scope to your objectives is enough to document it (see “Sample language for the contract file”). Skylight will provide the topic descriptions, abstracts, and final reports you need.

18. Can multiple Phase III contracts go to the same firm?

Yes. There is no limit on the number, duration, type, or dollar value of Phase III awards.

19. Are there workshare requirements?

Not for Phase III. The SBIR/STTR minimums on how much work the company must do itself apply only to Phase I and Phase II. (For SBIR, the company must do at least two-thirds of a Phase I and half of a Phase II. For STTR, the company must do at least 40% and the research institution at least 30%.) In Phase III, Skylight can team with other firms as the work requires.

The separate **limitations on subcontracting** (13 CFR 125.6 and FAR 52.219-14) apply to contracts set aside or reserved for small businesses and to sole-source awards under SBA's 8(a), HUBZone, service-disabled veteran-owned, and women-owned programs. A Phase III award made under 15 U.S.C. 638(r)(4) is none of these, so the clause is not required. If an agency nonetheless sets the award aside or includes FAR 52.219-14, the clause binds as written, and Skylight will meet it.

20. Does a Phase III from STTR work need a research institution partner?

No. The research institution partnership required in STTR Phase I and II does not carry into Phase III.

21. Should the award be called SBIR Phase III or STTR Phase III?

Match the label to the prior award the work builds on. The Phase III authority, the competition exception, and the data rights are the same under both programs. Skylight's Service Design Accelerator has STTR awards (Phase I and Phase II) and an SBIR award (sequential Phase II), all under topic AF20A-TCS01. Use "STTR Phase III" for work that builds on the STTR awards and "SBIR Phase III" for work that builds on the SBIR sequential Phase II. When the work builds on all three, either label is accurate, as long as the file and the award cite all three contract numbers. Agencies have used both labels for Skylight's work.

22. What data rights apply to a Phase III?

A Phase III award has SBIR/STTR status and must include SBIR/STTR data rights protection.

- **DoD:** use DFARS 252.227-7018 (JAN 2025). Data developed or generated under the contract is protected for **20 years from contract award**; after that, the government gets government purpose rights, which don't expire. Special license terms may be negotiated only after award and may not be a condition of award. Pre-award data rights assertions follow DFARS 252.227-7017.

- **Civilian agencies:** the current FAR clause, FAR 52.227-20, Rights in Data — SBIR Program (MAY 2014), still states a 4-year protection period. SBA’s Policy Directive, which agencies must follow, sets a **20-year period starting at award**. A FAR proposed rule published September 18, 2026 would adopt the 20-year period in a new clause (proposed FAR 52.227-30). Until that rule is final, apply the 20-year period through your agency’s class deviation or a contract term that modifies the clause’s protection period (see the sample language).

Skylight marks deliverables with the SBIR/STTR data rights legend the clause requires, including the contract number, Skylight’s name and address, and the date the protection period ends.

23. How should a Phase III be reported in FPDS?

FPDS reporting applies to Phase III awards. In the FPDS “Research” field, use **SR3** (SBIR Phase III) or **ST3** (STTR Phase III). Record the extent of competition and the reason not competed under your agency’s guidance; DoD’s FPDS reference guide treats SBIR/STTR actions of every phase as competitive. Putting “SBIR Phase III” or “STTR Phase III,” the authority, and the original topic number in the award description makes the award easy to find later. The 2026 law also directs that federal procurement data identify SBIR/STTR awards and the prior work they build on.

24. Are there new security or due-diligence checks?

Yes, especially at DoD. The 2026 law expanded foreign-risk due diligence for SBIR/STTR awards, and DoD’s 2026 guidance applies its foreign-risk review to all Phase III awards, whatever the amount. Skylight will provide the disclosures your agency needs.

Skylight's SBIR/STTR technologies

These are the prior awards your Phase III can build on. Each was competitively awarded by the U.S. Air Force.

Service Design Accelerator (also called the Skylight Service Design Framework)

A method and set of tools for designing, embedding, and continuously improving services across an organization's people, operations, technology, policy, and infrastructure. It covers discovery research, system mapping, prototyping, governance and evaluation, and building in-house capability. Most of Skylight's Phase III awards build on this technology.

Topic **AF20A-TCS01**, "Open Call for Science and Technology Created by Early-Stage Teams," from the Air Force STTR solicitation X20.A.

Award	Contract number	Topic	Period
STTR Phase I	FA864920P0634	AF20A-TCS01	March 4 – June 9, 2020
STTR Phase II (research institution: University of California, San Diego)	FA864920P0995	AF20A-TCS01	September 28, 2020 – September 28, 2021
SBIR sequential Phase II (STRATFI)	FA877124C0005	AF20A-TCS01	June 25, 2024 – June 24, 2027

GearFit (formerly Aircrew Flight Equipment)

A platform for collecting and analyzing feedback on the fit of personal protective and flight equipment, so the Air Force can get properly fitting gear to airmen.

Topic **AF192-D001**, “Open Call for Innovative Defense-Related Dual-Purpose Technologies/Solutions with a Clear Air Force Stakeholder Need.”

Award	Contract number	Topic	Period
SBIR direct to Phase II	FA864919CA079	AF192-D001	August 9, 2019 – August 9, 2020
SBIR sequential Phase II	FA864921C0009	AF192-D001	February 5, 2021 – May 5, 2022

Skylight’s Phase III awards

Agencies across government have used Skylight’s SBIR/STTR work as the basis for Phase III awards. Each award below is labeled SBIR or STTR Phase III in its award record or coded as a Phase III action in FPDS. Contract numbers and dates are from FPDS and USAspending.gov.

Phase III contract vehicles

Vehicle	Contract number	Who orders	Details
BESPIN Design Studio SBIR Phase III IDIQ (U.S. Air Force)	FA877122D0003	The Air Force, for itself and other agencies	Awarded September 2022. \$100 million ceiling; about \$73 million obligated on 21 orders reported as of October 2026. Ordering ends September 29, 2027 . Builds on the Service Design Accelerator.
Presidential Electronic Records Migration Activities (PERMA) SBIR Phase III IDIQ (National Archives)	88310325D00002	NARA	Awarded April 2025. \$30 million ceiling. Ordering ends March 31, 2030.

Vehicle	Contract number	Who orders	Details
NARA Enterprise ERA 2.0 Modernization & Operations (NEEMO) SBIR Phase III IDIQ (National Archives)	88310326D00009	NARA	Awarded June 2026. \$90 million ceiling. Ordering ends March 31, 2030.
Value-driven, Iterate, Build, Evolve, Scale (VIBES) STTR Phase III IDIQ (HHS, for ACF)	7571MN26D00001 (originally 140D0425D0043)	HHS, for ACF	Awarded September 2025 by the Department of the Interior's Interior Business Center as an assisted acquisition; HHS took it over in September 2026. \$88 million ceiling. Ordering ends September 23, 2030. Builds on the Service Design Accelerator.

Other Phase III awards

Agency	Award	Contract number	Details
U.S. Air Force	BESPIN Design Lab SBIR Phase III	FA877122C0002	Awarded January 2022
U.S. Air Force	GearFit development SBIR Phase III	FA877120C0018	Awarded August 2020; builds on the GearFit SBIR Phase II
HHS, CDC	Intelligent data workflow automation; Vocabulizer; SimpleReport and Data Integration Building Blocks; NEDSS Base System	FA877124F0019, FA877124F0055, FA877124F0147, FA877125F0110, FA877125F0111	Orders placed by the Air Force under the BESPIN Design Studio IDIQ, 2024–2025
DoD Office of Strategic Capital	Service design support	FA877123F0065, FA877125F0067	Orders placed by the Air Force under the BESPIN Design Studio IDIQ, 2023 and 2025

Agency	Award	Contract number	Details
Department of Education, Federal Student Aid	Federal Tax Information (FTI) module agile capacity support	91003126F0047	Awarded September 2026 as an order under Skylight's GSA MAS contract. The award cites "SBIR Phase III ... original topic number AF20A-TCS01," 15 U.S.C. 638(r)(4), and FAR 6.103-5.
HHS, ACF	STTR Phase III purchase order for improving support to ACF grant recipients	75ACF124P00014	Awarded September 2024; cites 15 U.S.C. 638(r)(4)
HHS, Food and Drug Administration	Complaint submission experience minimum viable product	75F40125P00122	Awarded July 2025
DHS, Transportation Security Administration	Customer experience data analysis and operational support	70T01025P5600N001, 70T01026P5600N001	Purchase orders awarded February 2025 and September 2026
U.S. International Development Finance Corporation	Service Design Accelerator process mapping, SBIR Phase III	77344425P0005	Awarded June 2025 using simplified procedures

How to award a Phase III contract to Skylight

You can order from one of Skylight's existing Phase III vehicles, if your agency can use it, or award your own Phase III contract, order, or IDIQ based on our Phase I and Phase II awards.

Step 1. Talk with us and your contracting office. Contact your procurement office (for example, CMS's Office of Acquisition and Grants Management) and Skylight at the same time. Market research conversations with Skylight help define the work and how it relates to our SBIR/STTR technology. Skylight will share the Phase I and II topic descriptions, abstracts, and reports.

Step 2. Make the Phase III determination. Confirm that the work derives from, extends, or completes Skylight's prior SBIR/STTR work. Write a short DEC statement that crosswalks the Phase I/II scope to your objectives (see the sample below). The Policy Directive asks agencies to consider and document whether a requirement involves Phase III work and whether a Phase III sole source is practicable.

Step 3. Choose the vehicle. Options include a standalone contract or purchase order; a Phase III IDIQ or BPA with a first ("seed") order; an order on an existing Skylight Phase III vehicle; a Phase III order on another vehicle, such as GSA MAS; or an assisted acquisition. Any contract type works.

Step 4. Secure non-SBIR/STTR funds. Use any funds proper for the work under appropriations rules, including RDT&E, operations and maintenance, or procurement funds — but not SBIR/STTR set-aside funds.

Step 5. Request a proposal. Send a letter request for proposal directly to Skylight with your statement of objectives or work, terms and conditions, and, for an IDIQ, the seed order. Or evaluate an unsolicited proposal. No synopsis is required. If work must start immediately, consider a letter contract under your agency's rules for undefinitized actions.

Step 6. Evaluate and negotiate. Evaluate Skylight's technical approach and price, determine that the price is fair and reasonable, and negotiate as you would for any sole-source award. Price and evaluate any options now.

Step 7. Document the file. Include the Phase III determination (DEC statement); the authority (15 U.S.C. 638(r)(4); 10 U.S.C. 3204(a)(5) or 41 U.S.C. 3304(a)(5); FAR 6.103-5); the topic and Phase I/II contract numbers; and any agency-specific items, such as the business clearance memorandum affirmation at the Navy or a DD Form 2579 at the Air Force. No written J&A is required.

Step 8. Award with the right clauses. Include the SBIR/STTR data rights clause: DFARS 252.227-7018 (JAN 2025) at DoD, or FAR 52.227-20 at civilian agencies with the 20-year protection period applied. Identify the award as an SBIR or STTR Phase III in the award document.

Step 9. Report it. Report the award in FPDS with Research code SR3 or ST3, and name “SBIR Phase III” or “STTR Phase III” and the original topic number in the description.

Step 10. Administer and extend. Manage the award as usual. If your needs grow beyond the awarded scope, a new Phase III action is available; there’s no limit on the number of Phase III awards.

Contact us. Email hello@skylight.digital. Company data: UEI F1QZXZNLZJF2; CAGE 7QNG6; GSA MAS contract 47QTCA18D00D0. More about Skylight’s contract vehicles is on our [contracting information page](#).

Sample language for the contract file

Adapt this to your agency's format, and fill in the bracketed text.

Phase III determination (DEC statement)

SBIR/STTR Phase III determination — [project title]

Scope. This [contract / order / IDIQ] will [summarize the objectives from the SOO or PWS].

Prior SBIR/STTR awards. Skylight Inc. (UEI F1QZXZNLZJF2) developed the Service Design Accelerator under U.S. Air Force STTR Phase I contract FA864920P0634 and STTR Phase II contract FA864920P0995 (topic AF20A-TCS01), and continued it under SBIR sequential Phase II contract FA877124C0005 (topic AF20A-TCS01).

How this work derives from, extends, or completes the prior work. The Phase I and Phase II efforts developed and tested methods and tools for discovery research, system mapping, prototyping, governance and evaluation, and building in-house service design capability. This effort applies those methods and tools to [your mission], which [derives from / extends / completes] the prior work by [explanation].

Phase I/II scope item	This award's objective
[scope item]	[objective]

Determination. I determine that this award derives from, extends, or completes efforts made under the prior SBIR/STTR funding agreements listed above. It is an [SBIR / STTR] Phase III award authorized by 15 U.S.C. 638(r)(4) and made under [10 U.S.C. 3204(a)(5) / 41 U.S.C. 3304(a)(5)] and FAR 6.103-5 [or agency equivalent]. Under 15 U.S.C. 638(r)(4) and FAR 6.103-5(e), no further justification is required. The award has SBIR/STTR Phase III status and includes SBIR/STTR data rights.

[Contracting officer name, office, date]

Award description (for the contract and FPDS)

[SBIR / STTR] Phase III award under original topic number AF20A-TCS01, pursuant to 15 U.S.C. 638(r)(4) and FAR 6.103-5 (authorized by statute). Derives from, extends, or completes STTR Phase I FA864920P0634, STTR Phase II FA864920P0995, and SBIR sequential Phase II FA877124C0005.

Data rights

DoD: “DFARS 252.227-7018, Rights in Other Than Commercial Technical Data and Computer Software — Small Business Innovation Research Program and Small Business Technology Transfer Program (JAN 2025), applies to this award.”

Civilian: “FAR 52.227-20, Rights in Data — SBIR Program (MAY 2014), applies to this award, except that, consistent with the SBA SBIR/STTR Policy Directive, the SBIR/STTR data protection period begins on the date of award and ends 20 years after that date. This term governs over any shorter protection period stated in the clause.”

Appendix A: Statutes, regulations, and resources

Statutes and policy

- [15 U.S.C. 638](#): the SBIR and STTR programs; 638(r)(4) covers Phase III competition and justification
- 10 U.S.C. 3204(a)(5) and 41 U.S.C. 3304(a)(5): the “authorized or required by statute” exception to full and open competition
- Small Business Innovation Development Act of 1982 (Public Law 97-219): created SBIR
- Small Business Research and Development Enhancement Act of 1992 (Public Law 102-564): created STTR
- Public Law 119-83 (April 13, 2026): reauthorized both programs through September 30, 2031
- [SBA SBIR/STTR Policy Directive](#) (effective May 3, 2023), especially § 4(c) on Phase III and § 8 on data rights
- 13 CFR 125.6: limitations on subcontracting

Regulations

- [FAR Part 6, RFO model deviation](#): 6.103-5, authorized or required by statute
- DFARS 252.227-7018 (JAN 2025) and DFARS 227.7104: SBIR/STTR data rights at DoD (final rule, 89 FR 103338, December 18, 2024)
- [FAR 52.227-20](#) (MAY 2014): SBIR data rights at civilian agencies; proposed replacement FAR 52.227-30 (proposed rule published September 18, 2026)
- NMCARS 5206.302-5: Navy Phase III documentation

Guidance

- Department of War SBIR/STTR Phase III Authority one-pager (August 2026), at navysbir.com
- Department of the Navy SBIR/STTR Phase III Guidebook (version 2.0, 2020), at navysbir.com
- [AFWERX SBIR/STTR Phase III page](#)
- [SBIR.gov](https://sbir.gov): program overview and award search
- [FPDS Research data element](#): codes SR3 and ST3

Appendix B: FAR Part 6 text (Revolutionary FAR Overhaul)

Agencies adopt the RFO parts through their own class deviations, so check your agency's version. Key text from the RFO model deviation for FAR Part 6, as posted on acquisition.gov in October 2026:

6.103 Other than full and open competition.

- (a) Agencies may contract without providing for full and open competition under authorities specified in this section (see 10 U.S.C. 3204 and 41 U.S.C. 3304).
- (b) Contracting without providing for full and open competition must not be justified on the basis of — (1) A lack of planning by the requiring activity; or (2) Concerns related to the amount of funds available to the agency or activity for acquisition.
- (c) When not providing for full and open competition, the contracting officer must solicit offers from as many potential sources as is practicable under the circumstances.
- (d) **Except for contracts awarded under the authority of 6.103-5 and 6.103-7, an acquisition under this section requires —** (1) Consideration of all bids, proposals, quotations, or capability statements received; and (2) Justification and approval required by 6.104.

6.103-5 Authorized or required by statute.

- (a) *Authority.* 10 U.S.C. 3204(a)(5) or 41 U.S.C. 3304(a)(5).
- (b) *Authorized or required by statute.* Agencies may contract without providing for full and open competition when — (1) A statute expressly authorizes or requires that the acquisition be made through another agency or from a specified source; or (2) The agency's need is for a brand-name commercial product for authorized resale (e.g., commercial products for resale through commissaries). ...
- (c) *Application.* This authority may be used when statutes expressly authorize or require that acquisition be made from a specified source or through another agency. Examples include, but are not limited to: (1) Sole-source awards of certain socio-economic small business concerns (see 15 U.S.C. chapter 14A); and (2) **Sole-source awards under the SBIR or STTR programs for Phase III (see 15 U.S.C. 638(r)(4)) or Phase II, when directly following a competitively awarded initial Phase II award (see 15 U.S.C. 638(ff)).**
- ...
- (e) With the exception of sole-source 8(a) contracts over \$30 million, contracts awarded using this authority do not require written justifications and approvals described in 6.104.

6.104

- (a) A justification and approval must support procedures under 6.103, except 6.103-5 and 6.103-7.